

BUSINESS LAW & ETHICS (265)

STATE – 2019

Multiple Choice & True/False Section:

True/False (20 @ 2 points each) _____ (40 points)

Multiple Choice (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ ***(100 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than sixty (60) minutes testing time
No more than ten (10) minutes wrap-up

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TRUE/FALSE

Identify the letter of the choice that best completes the statement or answers the question. Mark "A" if the statement is True. Mark "B" if the statement is False.

1. Public law involves disputes between private individuals or groups and their government.
2. Federal district courts have original jurisdiction to hear all appeals from state trial courts.
3. There is only *one* correct answer for each ethical dilemma.
4. The social responsibility of a business is formed by expectations employees have of employers.
5. Negligence is an intentional behavior, which creates an unreasonable risk of harm to others.
6. In some situations, the law specifies the duty of care one individual owes to another.
7. Good Samaritan statutes impose liability upon people for refusing to stop at accident scenes.
8. Competent parties can be of any age as long as they understand the terms of a contract.
9. A written contract can be a handwritten note.
10. In an expressed contract, all terms of the agreement *must* be clearly set forth in writing.
11. An S corporation has the tax status of a partnership.
12. Corporations have rights as private citizens under the U.S. Constitution.
13. The major disadvantage of a corporation is the fact that the shareholders have shared personal liability for a corporation's obligations.
14. Patents are issued by the Secretary of State.
15. Copyrights protect the ideas of creative ideas.
16. A teacher *cannot* be held liable for copyright infringement under the Fair-Use Doctrine so long as copies are only used for educational purposes.
17. A principal is liable for the torts and crimes of the agent if they are committed at the direction of the principal or while the agent is performing authorized duties during the ordinary course of the agency.
18. When the amount of a check expressed in figures does *not* agree with the amount stated in words, the amount expressed in words is considered the true one.
19. Two forms of sexual harassment are quid pro quo and creation of a hostile work environment.
20. The Truth in Lending Act requires that sellers disclose the terms of the credit or loan to help consumers compare credit lines or loans.

21. Which of the following *most* accurately sets forth ways into which law may be divided and classified?
- National versus international
 - Federal versus state
 - Public versus private
 - National versus international, federal versus state, and public versus private
22. The United States Constitution and _____ establish the fundamental principles and rules by which the United States and the several states are governed.
- the administrative rules
 - the procedural rules
 - the constitution of each state
 - the bylaws of each state
23. A court decision upon which courts later rely in similar cases is known as a(n) _____.
- precedent
 - example
 - judicial review
 - statutory review
24. Appeals of the decisions of federal administrative agencies are made to the _____.
- U.S. Supreme Court
 - U.S. Circuit Courts of Appeals
 - U.S. District Courts
 - International Court of Justice
25. The federal government and many states have statutes that protect whistleblowers from _____.
- retaliation.
 - rebuke.
 - appraisal.
 - indictments.
26. The idea that we should interact with other people in a manner consistent with the manner in which we would like for them to interact with us is called _____.
- the Equalization Rule
 - the Ethical Realization Rule
 - the Silver Rule
 - the Golden Rule
27. Which of the following are *common* classifications of torts?
- Intentional, negligent, and criminal
 - Intentional, criminal, and strict-liability
 - Intentional, negligent, and strict-liability
 - Criminal, negligent, and strict-liability.

28. Which of the following is an *absolute* defense to defamation?
- The statement is true.
 - The statement was said on private property.
 - The defendant did *not* know the plaintiff.
 - The plaintiff was *not* present when the statement was made.
29. In order to have a claim for negligence, a plaintiff must prove the _____.
- defendant owed the plaintiff a legal duty.
 - plaintiff acted as a reasonable person under the situation.
 - defendant breached a legal duty owed to the plaintiff.
 - defendant owed the plaintiff a legal duty and the defendant breached the legal duty.
30. _____ damages are compensation awarded to punish the defendant.
- Nominal
 - Compensatory
 - Punitive
 - Retaliatory
31. An offer made by one party and accepted by another party is called a(n) _____.
- legal object
 - agreement
 - coherence
 - alliance
32. A _____ contract is commonly defined as a promise in exchange for a promise.
- unilateral
 - trilateral
 - complete
 - bilateral
33. Which of the following is sometimes referred to as an implied-in-law contract?
- Quasi-contracts
 - Express contracts
 - Implied-in-fact contracts
 - Express contracts and implied-in-fact contracts
34. A valid contract may be _____ when there is some law that prohibits the courts from enforcing it.
- executed
 - executory
 - unenforceable
 - notated

35. If only one party promises something, such as paying a certain amount of money, and the other party promises nothing, then the agreement lacks _____.
a. consideration
b. competence
c. legality of purpose
d. offer and acceptance
36. Certain contracts, such as those involving the sale of personal property for \$500 or more _____.
a. must be orally accepted to be enforceable.
b. must be written to be enforceable.
c. need not be signed to be enforceable.
d. must be divisible in nature.
37. The legal ability to enter into a binding agreement is known as _____.
a. majority
b. emancipation
c. contractual knowledge
d. contractual capacity
38. A business owned and operated by two or more persons is a _____.
a. partnership
b. sole proprietorship
c. corporation
d. subchapter S corporation
39. The major advantage of a corporation is the fact of _____ to shareholders.
a. restricted authority
b. unlimited credibility
c. limited liability
d. unrestrained reliability
40. Trademark registrations are issued at the federal level by the _____.
a. U.S. Patent and Trademark Office
b. Department of Labor
c. Department of Justice
d. State Department
41. A patent is a valid, government-granted protection awarded to inventors that gives the patent-holder the exclusive right to manufacture, use, and sell the invention for _____.
a. 10 years
b. 20 years
c. 50 years
d. the lifetime of the creator plus 70 years

42. To stop a competitor from using a trade secret, the plaintiff must prove that a trade secret actually existed, that the defendant acquired the trade secret unlawfully and _____.
a. it is the plaintiff's sole trade secret
b. the inventor successfully patented the trade secret
c. the defendant published the trade secret
d. the defendant used the trade secret without the plaintiff's permission
43. A document that gives an agent authority to sign legal documents on behalf of the principal is called a _____.
a. order of authority
b. power of order
c. legal empowerment
d. power of attorney
44. Which of the following are examples of negotiable instruments?
a. Checks and oral agreements
b. Drafts and stocks
c. Notes and oral agreements
d. Checks, drafts, and notes
45. A written order drawn on a bank by a depositor that requests the bank to pay, on demand and unconditionally, a definite sum of money to the bearer of the instrument or to the order of a specified person is called a _____.
a. price quotation
b. promissory note
c. check
d. demand note
46. The _____ protects employees against discrimination and harassment based upon race, color, religion, national origin, and sex.
a. Civil Rights Act of 1964-Title VII
b. Pregnancy Discrimination Act of 1987
c. Age Discrimination in Employment Act of 1967
d. American with Disabilities Act of 1990
47. The purpose of the _____ is to prevent employers from discriminating against employees and applicants with disabilities.
a. Americans with Disabilities Act
b. Disabled Citizens Act
c. Handicapped Americans Act
d. Disabled Americans Act

48. The _____ is a federal law regulating the payment of wages and overtime.
- a. Fair Pay Act
 - b. Fair Labor Standards Act
 - c. Regulatory Wage Act
 - d. Subsistence Pay Act
49. State consumer protection laws prohibiting used-car fraud are known as _____ laws.
- a. orange
 - b. prune
 - c. lemon
 - d. onion
50. The _____ is/are federal law(s) regulating the credit industry.
- a. Truth-in-Lending Act
 - b. Fair Credit Reporting Act
 - c. Fair Debt Collection Practices Act
 - d. Truth-in-Lending Act, the Fair Credit Reporting Act, and the Fair Debt